

2 - Ratio Analysis - Smith PLC



Company: Smith PLC (Property developer)

Statement of comprehensive income (Profit and Loss account)	2024	2023
	£ million	£ million
Sales Revenue	1971.7	1588.5
Cost of sales	1308.1	1110.3
Gross Profit	663.6	478.2
Operating Expenses	285.0	251.7
Operating Profit	378.6	226.5
Interest	12.8	8.1
Profit for the year (net profit)	365.8	218.4

Statement of financial position (Balance Sheet)	2024	2023
	£ million	£ million
Non-current assets (fixed assets)		
Intangible Assets	38.1	39.4
Tangible Assets	296.5	287.6
Total non-current assets	334.6	327.0
Current assets		
Inventory (Stock)	174.7	174.0
Trade receivables (Debtors)	278.6	269.0
Cash	201.4	104.2
Total Current Assets	654.7	547.2
Current liabilities (Trade payables)	403.2	346.6
Non-current liabilities (Long term loans)	239.2	227.9
Net Assets	346.9	299.7
Share capital	56.8	57.1
Retained profit	290.1	242.6
Total Equity/Shareholder funds	346.9	299.7

**Capital Employed = Total Equity/Shareholder funds (share capital + retained profit)
+ long term loans**

(i.e. finance invested into business)

= 2023 586.1m

= 2022 527.6m

Calculate all the accounting ratios (the seven taught in lessons) for both years

Assess the extent to which Smith PLC has a strong financial position (in note form)



Thomas Cook Statement of comprehensive income (profit and loss account)

	2018	2017
	£m	£m
Sales revenue	9584	9006
Cost of sales	7629	7014
Gross Profit	1955	1992
Operating Profit	250	326
Interest	129	147

Profit for the year (Net profit)	126	183
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Thomas Cook Statement of financial position (Balance Sheet)

	2018	2017
	£m	£m
Non-current assets (Fixed assets)	4401	4273
Current Assets	2113	2231
Current Liabilities	4222	4339
Long term liabilities	2001	1909
Net Assets	291	256
Total Equity/shareholder funds	291	256

Using the data in the accounts and ratio analysis, outline the main reasons why Thomas Cook ceased trading in 2019



